

Importance of Correct Timing

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As soon as a security is purchased, the buyer loses the power to avoid a decision. It becomes necessary for him to decide whether to hold or sell. As an inexorable consequence, the percentage of correct conclusions must be lowered. Therefore, intelligent investors expect to make a great many more errors in closing transactions than in opening them.

When nothing but cash is held, no decision need be made at all unless conditions are completely satisfactory. Either a suitable opportunity may be present, so that a purchase can sensibly be made, or the pros and cons may be so balanced that nothing is done.

Losses must always be "cut." They must be cut quickly, long before they become of any financial consequence.

The worst that can happen if the latter decision is reached is that an opportunity will be missed through cau-